

Week 6 Reading

Valuation, NPV, Benefit-Cost Analysis

Draft Material — This content is under development and subject to change.

1 Assignment

Read K. Arrow *et al.* [1]. If you want to dig deeper, read K. J. Arrow *et al.* [2] as well. Maybe will add a bit of U.S. Office of Management and Budget [3].

2 Overview

Reading TBD.

3 Discussion Questions

1. *TBD*
2. *TBD*

Bibliography

- [1] K. Arrow *et al.*, “Determining Benefits and Costs for Future Generations,” *Science*, vol. 341, no. 6144, pp. 349–350, Jul. 2013, doi: 10.1126/science.1235665.
- [2] K. J. Arrow *et al.*, “How Should Benefits and Costs Be Discounted in an Intergenerational Context? The Views of an Expert Panel.” Accessed: Feb. 27, 2023. [Online]. Available: <https://papers.ssrn.com/abstract=2199511>
- [3] U.S. Office of Management and Budget, “Circular No. A-94: Guidelines and Discount Rates for Benefit-Cost Analysis of Federal Programs,” Nov. 2023. [Online]. Available: <https://www.whitehouse.gov/wp-content/uploads/2023/11/CircularA-94.pdf>